

Comprehensive Proposal: Expansion of Petrol Sales

Prepared by: MR. NSEREKO NAJIB

Position: Accountant

Date: 03/09/2025

1. Executive Summary

This proposal evaluates the potential of establishing **direct petrol sales outlets on islands served by Katosi Filling Station's current resellers**. Currently, middlemen capture an additional **UGX 500 per litre** profit by reselling on islands at higher prices.

By entering the island markets directly, either by **diverting a share of our sales** or by **increasing stock**, we can significantly increase profits. This strategy can increase **gross profits by UGX 8.1m monthly (≈UGX 97m annually)** under conservative estimates, with even higher potential if stock is increased.

I also propose to **personally supervise** this project to ensure smooth implementation and accountability, subject to an additional remuneration package.

2. Current Petrol Sales Performance

- **Litres sold:** 113,809.63
- **Revenue:** UGX 585,301,224
- **Cost of Sales (Fuel Purchase):** UGX 526,073,814
- **Discount Allowed:** UGX 8,631,819
- **Additional Transport Costs:** UGX 2,485,900 (to station + to clients)

2.1 Effective Price & Cost

- **Pump Price:** UGX 5,150 per litre
- **Net Realization (after discount):**

$$\frac{585,301,224 - 8,631,819}{113,809.63} = 5074 \text{ UGX PER LITRE}$$

- **Effective Cost per Litre:**

$$\frac{526,073,814 + 1,376,000 + 1,109,900}{113,809.63} = 4647 \text{ UGX PER LITRE}$$

- **Gross Profit per Litre (current):**

$$5074 - 4647 = 427 \text{ UGX PER LITTER}$$

- **Monthly Gross Profit:**

$$113,809.63 \times 427 = 48,600,000$$

3. Proposed Island Sales Model

Assumption A – Diverting 40% of Current Petrol Sales

- **Island Sales Share:** 45,500 litres (40%)
- **Mainland Sales Share:** 68,300 litres (60%)
- **Island Selling Price:** UGX 5,350/litre (below resellers at 5,500)
- **Extra Transport Cost:** UGX 100/litre

3.1 Island Sales Profitability

- **Revenue per litre:** 5,350
- **Effective Cost per litre:** $4,647 + 100 = 4,747$
- **Profit per litre:** 603
- **Gross Profit from 45,500 litres:**

$$45,500 \times 603 = 27,500,000 \text{ UGX}$$

3.2 Mainland Sales Profitability

- **Profit per litre (unchanged):** 427
- **Gross Profit from 68,300 litres:**

$$68,300 \times 427 = 29,200,000$$

3.3 Combined Gross Profit (New Model – Diverting Stock)

$$27,500,000 + 29,200,000 = 56,700,000$$

Increase vs Current:

$$48.6M - 27.5M = 8.1M \text{ UGX MORE PER MONTH}$$

Assumption B – Increasing Stock to Add Island Sales

Instead of diverting, assume we **increase stock by 40%** (extra 45,500 litres per month).

- **Additional Gross Profit (from new island stock):** 27.5m
- **Total Gross Profit:**

$$48.6M + 27.5M = 76.1M$$

Increase vs Current:

$$76.1M - 48.6M = 27.5M$$

That is **UGX 330m more annually**, with demand supporting increased volumes.

4. Risks and Mitigation

Risk	Mitigation
Transport challenges (lake safety, cost volatility)	Use insured boats, approved containers, and bulk scheduling
Competition pushback from current middlemen	Enter market discreetly under another brand/partner
Regulatory approvals (UNBS, ERA, NEMA)	Obtain permits before storage or distribution
Security risks (theft/fire)	Employ trusted island agents and enforce strict reconciliations

5. Implementation Plan

1. **Pilot Rollout:** Start with one high-demand island.
2. **Distribution Strategy:** Use a discreet front brand or partner to mask ownership.
3. **Pricing Model:** Set at UGX 5,350/litre – attractive but profitable.
4. **Supervision:** Daily monitoring of sales vs stock to avoid leakages.
5. **Scale Up:** Expand to other islands once pilot proves successful.

6. Estimated Statement of Profit or Loss

A. Current Model

Item	Amount (UGX)
Revenue	585,301,224
Cost of Sales (incl. transport)	536,701,224
Gross Profit	48,600,000
Operating Expenses (assumed)	25,000,000
Net Profit	23,600,000

B. Proposed Model (40% diverted to islands)

Item	Amount (UGX)
Revenue (Island + Mainland)	590,150,000
Total Cost of Sales	533,408,000
Gross Profit	56,700,000
Operating Expenses (assumed)	25,000,000
Net Profit	31,700,000

Improvement: +8.1m net profit per month ($\approx$ 97m annually).

C. Proposed Model (Increasing Stock by 40%)

Item	Amount (UGX)
Revenue	Higher (due to extra 45,500 litres)
Cost of Sales (higher due to added stock)	Adjusted accordingly
Gross Profit	76,100,000
Operating Expenses (assumed)	25,000,000
Net Profit	51,100,000

Improvement: +27.5m net profit per month ($\approx$ 330m annually).

8. Conclusion

If management approves this initiative, I am ready to:

- **Supervise the project directly** to ensure control, compliance, and profitability.
- Report **monthly profitability comparisons** to demonstrate success.
- For this added responsibility, I respectfully request **additional remuneration** aligned with supervisory duties.

This project represents a **transformational opportunity** for Katosi Filling Station:

- Profits increase **by UGX 97m annually (if diverting sales)** or **UGX 330m annually (if increasing stock)**.
- We establish **dominance in the island markets** and improve our competitive edge.
- Customers benefit from lower prices, ensuring **sustainable market capture**.

I strongly recommend piloting this strategy with my supervision.